THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET 1

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** excess supply and falling price	Surplus
2	**(b)** falls	Expectations
3	**(d)** A is false but R is true.	A false, R true
4	**(a)** cut price	Surplus
5	**(b)** excess demand of 6	12 - 6
6	**(a)** related-goods effect on supply	Supply response
7	**(a)** Both A and R are true and R is the correct explanation of A.	Substitutes
8	**(a)** shortage	Ceiling below equilibrium
9	**(a)** Both A and R are true and R is the correct explanation of A.	Quantity demanded exceeds quantity supplied at a low price, so a shortage appears and price tends to rise.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true but the second statement about complements does not explain why tea and coffee are substitutes.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Cut tariff (1); Offer packages to fill rooms (1).	1+1
12	Below equilibrium, market price is already higher (1); It then has no effect (1).	1+1
13	Demand needs both willingness and ability (1); Purchasing power is money value of goods one can buy (1).	1+1
14	Fish stocks fall (1); Less catch in coming years (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Competition lowers prices (1); Quality and features improve (1); Consumers benefit (1).	1+1+1
16	Schedule 150-2, 100-4, 50-6 (1); Increase of 4 kg (1); Downward-sloping demand curve (1).	1+1+1
17	Cost rises (1); Supply falls (1); Price rises (1).	1+1+1
	OR: Markets set prices by demand and supply (1); Government corrects exploitation (1); Together they keep markets fair (1).	1+1+1
18	Off-season demand low (1); Festival demand high (1); Revenue maximisation (1).	1+1+1
	OR: High compliance cost (1); Time delays (1); Uncertainty (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Rs 100 and 12 kg, where demand equals supply (1). (ii) Excess demand (shortage) of 18 - 6 = 12 kg (1). (iii) Excess supply (surplus) of 18 - 6 = 12 kg (1). (iv) In (ii) price tends to rise because buyers compete for scarce mangoes; in (iii) price tends to fall because sellers cut prices to clear the unsold stock; both movements push the market back to Rs 100 (2).	1+1+1+2
20	Price ceilings help consumers (1); Floors help producers or workers (1); Over-regulation hurts firms (1); Accountability to voters (1); Evidence guides policy (1).	1+1+1+1+1
	OR: Higher income raises demand (1); Lower price raises quantity (1); Welfare improves (1); Supply must respond (1); New equilibrium (1).	1+1+1+1+1

Mistakes to avoid:

- Do not confuse a **movement along** a demand or supply curve (caused by a change in the good's own price) with a **shift** of the curve (caused by income, tastes, related goods, technology, etc.).
- Excess demand = shortage (price below equilibrium); excess supply = surplus (price above equilibrium). Students often reverse these.

- Substitutes (tea and coffee) move in the same direction of demand when the price of the other changes; complements (smartphone and earphones) go together. Do not interchange them.
- A price ceiling is a **maximum** price and a price floor (e.g. minimum wage) is a **minimum** price; a floor below equilibrium or a ceiling above equilibrium has no effect.
- Market demand is the **sum** of all buyers' demands at a price (e.g. 1 + 2 + 3 = 6 kg); write the values for the same price, not different prices.
- In the real world equilibrium is not stable because demand and supply keep changing (pandemics, weather); the regulators are RBI (banking), SEBI (securities), TRAI (telecom) and CCPA (consumers).

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** Both A and R are true and R is the correct explanation of A.	Free-rider
2	**(a)** Both A and R are true and R is the correct explanation of A.	Single seller
3	**(a)** a movement along the supply curve	Law of supply
4	**(c)** Fixing every price permanently	Role is limited
5	**(a)** Both A and R are true and R is the correct explanation of A.	Shortage
6	**(b)** CCPA	Consumer authority
7	**(a)** 60 kg	30 x 2
8	**(b)** 40 kg	20 + 20
9	**(c)** A is true but R is false.	By the law of demand a rise in price reduces quantity demanded; so A is true and R is false.
10	**(d)** A is false but R is true.	A price floor below equilibrium is not binding, so A is false; R is true.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	New Qd 18 at Rs 100 so excess demand 6 (1); Price rises to a new equilibrium (1).	1+1
12	Declare goods essential and limit stocks (1); Raids and penalties (1).	1+1
13	Intervention is limited to unfair practices (1); Over-control distorts markets (1).	1+1
14	Above equilibrium, market price is already lower (1); Ceiling then has no effect (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Meant for emergencies (1); Long-term controls reduce incentives (1); Distort supply (1).	1+1+1
16	Non-excludable use (1); Free-rider problem (1); Little profit (1).	1+1+1
17	Protect investors and consumers (1); Ensure fair practices (1); Reduce misuse by firms (1).	1+1+1
	OR: Tea and coffee are substitutes (1); Cheaper tea attracts coffee drinkers (1); Demand for coffee falls (1).	1+1+1
18	Demand surged in 2020 (1); Supply rose later (1); Prices fell after the pandemic (1).	1+1+1
	OR: Supply curve shifts left (1); Price rises (1); Quantity falls (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Price ceiling (1). (ii) The Essential Commodities Act, 1955 (1). (iii) Storing goods beyond need so as to sell them later at higher prices (1). (iv) It creates excess demand (shortage) because buyers want more and sellers offer less at the lower price (1); it can lead to black marketing or lower incentive to produce (1).	1+1+1+2
20	Regulators check fraud and monopoly (1); Provides public goods (1); Price ceilings in emergencies (1); Risks of over-regulation (1); Democratic accountability (1).	1+1+1+1+1
	OR: In theory demand and supply meet (1); Real events keep shifting the curves (1); Masks and hotel tariffs show movement (1); New equilibria emerge (1); So equilibrium is a moving target (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** Onset of monsoon	Seasonality
2	**(a)** licences and approvals are many and complex	Compliance
3	**(c)** 12 kg	18 - 6
4	**(c)** A is true but R is false.	R false
5	**(a)** Rising demand for smartphones and earphones	Joint use
6	**(a)** Both A and R are true and R is the correct explanation of A.	Aggregation
7	**(a)** future price expectations	Expectations
8	**(a)** Both A and R are true and R is the correct explanation of A.	Dynamic market
9	**(a)** Both A and R are true and R is the correct explanation of A.	Goods kept back from sale reduce market supply, which pushes up the price in the short run.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true, but R is the definition of equilibrium and has no link with the effect of technology on supply.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Substitutes and complements are linked (1); Relative prices shift buyer choices (1).	1+1
12	Allocation by ability to pay (1); Government must ensure equity (1).	1+1
13	Technology, weather and events shift curves (1); Expectations and incomes change (1).	1+1
14	Prices fall for buyers (1); Profits shrink, some firms may exit (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Gain: affordability (1); Risk: supply fall (1); Possible black market (1).	1+1+1
16	Movement due to price change (1); Shift due to income, taste, or related goods (1); Examples help (1).	1+1+1
17	Price of cars rises (1); Demand for petrol falls (1); Complements move in same direction (1).	1+1+1
	OR: Demand curve shifts right if taste rises (1); Price and quantity rise (1); Opposite if taste falls (1).	1+1+1
18	More children raise demand for sports shoes (1); More elderly raise demand for orthopaedic shoes (1); Workers need formal wear (1).	1+1+1
	OR: Higher price raises profit and output (1); Law of supply (1); Drought could cut supply anyway (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Seasonality (1). (ii) Substitutes (1). (iii) Complements (1). (iv) Current demand falls (1), because buyers expect the price to fall and postpone their purchases (1).	1+1+1+2
20	Prevents unfair practice and protects consumers (1); Excess licences raise compliance costs (1); Price controls reduce profit incentive (1); Smart regulation encourages competition (1); Balance is needed (1).	1+1+1+1+1
	OR: Overuse reduces stocks (1); Future supply falls (1); Prices rise (1); Conservation sustains supply (1); Short-term gain versus long-term (1).	1+1+1+1+1

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